

PUBLIC VERSION

BEFORE THE FEDERAL MARITIME COMMISSION

SAMSUNG ELECTRONICS AMERICA, INC.)

Complainant,)

v.)

SM LINE CORPORATION)

Respondent.)

Docket No. 23-01

COMPLAINANT’S MOTION TO COMPEL AND FOR SANCTIONS FOR SPOILIATION OF EVIDENCE

Complainant Samsung Electronics America, Inc. (“SEA”) moves (i) to compel Respondent SM Line Corporation (“SM Line”) to produce allegedly deleted relevant e-mails (“Withheld ESI”); and (ii) for sanctions against SM Line for failure to preserve and produce the Withheld ESI.

INTRODUCTION

SM Line’s mishandling of its preservation obligations, its incomplete and misleading discovery responses, and its ultimate admission of systematic destruction of relevant evidence are prejudicial to SEA’s case in chief. SEA’s reparations claims focus on SM Line’s unreasonable, unjust, and indiscriminate charging and collection of demurrage and detention (“D&D”) charges that should have been SM Line’s responsibility as the common carrier under through bills of lading. Those D&D charges practices and collection mandates were set by SM Line in Korea.

Since the inception of its operation in January 2017, SM Line’s headquarters (“Korea HQ”) have been in Seoul, Korea, and its D&D policy was established and managed by its Korean headquarters’ network operations team, known as SELCON. Under the D&D policy effective during the 2020 to 2022 time period relevant to SEA’s claims (“Relevant Time Period”), the top-

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ranking executive at SM Line's Chandler, Arizona office ("U.S. Office") had no decision-making authority over D&D charges over [REDACTED]. Thus, SM Line's D&D policy was the sole responsibility of the Korean headquarters' SELCON team, as were all decisions to assess and collect the 3,783 charges over [REDACTED] which represent over \$12,800,000 of SEA's direct damages for the Relevant Time Period).¹ As such, SM Line knew the critical importance of e-mails to and from key knowledgeable D&D decision-makers at SM Line's Korea HQ ("Key Custodians"). Still, SM Line failed to identify any of the Key Custodians or preserve their relevant e-mails.

Only at the end of the expert discovery phase and right before initial briefing on its Shipping Act violations, did SM Line reveal on March 8, 2024 that it systematically destroyed relevant evidence. Initial disclosures were exchanged almost 9 months ago on May 19, 2023. On January 31, 2024, SM Line disclosed for the first time in this proceeding "from what we understand" that "[a]ccording to the company's policy, emails on email server [*sic*] are automatically deleted after 90 days unless they are separately preserved in another server/system by an IT team and/or saved by individual computers by the employees" ("Email Deletion Policy"). SM Line concluded that "[a]s such, it's *plausible* that whatever communications SEA is seeking, if they ever existed, *may have been deleted* according to the policy we just mentioned" (emphasis added). The "plausible" became absolute on March 8, 2024, when SM Line counsel stated "[w]hen it comes to communications that were handled by SM Line employees in Korea, however, all of the communications prior to April of 2023 had already been deleted."

The scope and impact of SM Line's belated disclosure of systematic email destruction to this day is unknown, but it is extensive. SM Line has not identified the extent to which emails of *U.S.-based employees* were deleted and not produced, representing only in its January 31, 2024

¹ Ex 1., Exhibit 14 to Expert Report of Gregory Smith.

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communication that “[w]hile the 90-day retention policy is enforced strictly in Korea, the same is *somewhat more lenient* in the U.S. Office, *which might explain* why US employees were able to produce more emails.” SM Line has not explained how the policy was somehow automatically or “strictly” enforced at its Korea HQ, yet apparently also selectively or “lenient[ly]” enforced in the U.S. The policy itself cannot explain the incongruity because, SM Line represents, the policy is not in writing, nor was its selective enforcement “memorialized in any written directive.”

SEA’s June 9, 2023 discovery requests sought the names of individuals with D&D responsibility and *all* relevant emails from *all* relevant custodians, who were involved in or had authority to institute or revise SM Line’s D&D charging and collection policies and practices during the Relevant Time Period. Yet neither SM Line’s initial disclosures nor its responses to SEA’s interrogatories disclose a *single* custodian in SM Line’s Korea HQ. Likewise, SM Line’s initial document productions contained only a *de minimis* number of emails from custodians in SM Line’s Korea HQ. And *not once* before January 31, 2024 did SM Line reveal the theoretical Email Deletion Policy. It is now apparent that SM Line materially flouted its discovery obligations to produce full and complete responses to SEA’s discovery requests.

Worse yet, as early as September 2022 when SEA sent its demand letter, seeking refund of all D&D charges for the Relevant Period, SM Line knew or should have known then that it should have suspended any Email Deletion Policy. But SM Line did not suspend it then, and SM Line did not suspend it when the complaint was filed either. It was only after SEA repeatedly pressed, against SM Line’s objections, to take additional non-U.S. based depositions that SEA learned the identity of the Key Custodians. Those depositions further established that: the Key Custodians should have been identified at the outset of the proceeding, if not during the course of contested discovery; and the Key Custodians indeed had responsive emails and electronic records during the

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Relevant Time Period. Yet SM Line still stonewalled SEA's efforts to obtain responsive emails from the Key Custodians. Between February 22, 2024 and March 5, 2024, SEA pressed SM Line on no less than six separate occasions without substantive response before SEA held a meet and confer with SM Line on March 6, 2024. Only then, on March 8, 2024, did SM Line confirm that *all relevant emails from Key Custodians in Korea prior to April 2023 had been destroyed*.

SM Line's excuses are inadequate and too late; it (1) failed to suspend the (then undisclosed) Email Deletion Policy upon receiving SEA's September 23, 2022 demand letter, allowing the Withheld ESI to be destroyed; (2) allegedly implemented *ad hoc* document collection measures instead of an adequate litigation hold; and (3) repeatedly failed to identify the actual knowledgeable witnesses in initial disclosures and discovery responses. SM Line obscured the identities of Key Custodians and withheld disclosure of the systematic destruction of relevant evidence. These actions prejudice SEA's case and undermine the FMC's statutory obligation to fairly and fully adjudicate the Shipping Act violation claims.

Against this backdrop, with the Presiding Officer's leave to file this dual motion to compel and for sanctions, SEA moves herein for a finding that SM Line's systematic spoliation of evidence relating to Key Custodians in its Korea HQ and related discovery failures warrant appropriate sanctions in the form of adverse inferences and for costs to recompense these discovery failings.

RELEVANT FACTS

A. SM Line Received SEA's Demand Letter in September 2022, Immediately Began Internal D&D Analysis Concerning SEA's Claims, But Failed to Institute an Adequate Litigation Hold or Suspend the Email Deletion Policy

On September 26, 2022, SM Line's U.S. Office received SEA's demand Letter dated September 23, 2022 ("Demand Letter"), seeking refund of the D&D charges and protesting SM Line's other failures. *See* Exs. 2 and 3. Upon receipt of the Demand Letter, the top-ranking

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managing director of SM Line’s U.S. Office (K.K. Choi) instructed various SM Line employees to begin collecting and analyzing internal D&D data concerning SEA for the Relevant Time Period. *See* Ex. 3. On October 7, 2022, the head of SM Line’s U.S. Office acknowledged receipt of the Demand Letter and attached a response letter from SM Line dated October 4, 2022. Ex. 4.

SM Line and SEA – directly and through counsel – held multiple discussions after October 4 in which SEA laid out the basis for its claims and SM Line denied liability. After several unproductive conversations, on April 19, 2023, SEA filed its Complaint, alleging SM Line’s unreasonable D&D assessment, billing, and collection practices and policies in violation of the Shipping Act. *See* FMC 23-01, Dkt. 1.

Despite the many portents of litigation and SEA’s actual filing of the complaint, no evidence exists that SM Line – both the Korea HQ and the U.S Office – at any time instructed employees to preserve all potentially relevant records, that it otherwise issued an adequate litigation hold, or that it suspended the Email Deletion Policy. Per the March 8, 2024 email, SM Line only conducted an *ad hoc*, employee-led document collection ***without actually instructing employees to preserve all documents or suspend any Email Deletion Policy or practice.*** Ex. 5.

B. SM Line Failed to Disclose Any Key Custodian in Korea in Initial Disclosures or Responses to SEA’s Discovery Requests, Including Those Specifically Focused on SM Line’s Decision-Makers Concerning D&D Policies and Charges

On May 19, 2023, SM Line served its initial disclosures,² identifying only 5 employees, ***all from the U.S. Office.*** SM Line did not identify any of the Key Custodians in SM Line’s Korea HQ, including (i) the Korea HQ team leaders identified in SM Line’s D&D Management Procedure as having “responsibility and Authority” over D&D charges, namely, TransPacific

² “[A]ll parties must...provide to each other: (1) The name and, if known, the address and telephone number of each individual likely to have discoverable information...” and “(2) [a] copy, or a description by category ***and location***, of ***all*** documents, ***electronically stored information*** [] that the disclosing party has in its possession, custody, or control.” 46 C.F.R. § 502.14

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Team, Accounting Team, or Network Operation Team (SELCON); or (ii) those with actual and sole authority to waive or discount D&D charges over [REDACTED]³

On June 9, 2023, SEA served discovery requests seeking the identity of knowledgeable witnesses and information and documents from all relevant custodians (U.S. Office or Korea HQ) pertaining to the assessment, deliberation of, and collection of D&D charges and consideration of discounts and inactivation of D&D charges.⁴ Below summarizes relevant portions of SEA's discovery requests and SM Line's responses dated July 20, 2023:

SEA's Discovery Requests	SM Line's Responses			
Interrogatory No. 17: For each SEA Shipment [] for which a Demurrage charge was collected, identify (a) the SM Line Person responsible for determining that SEA was responsible to pay the charge and the reason the SM Line Person determined that SEA was responsible to pay the charge, if any, (b) the basis for which SM Line determined at the time, if any, that assessing the charge on SEA was consistent with the FMC's rules with respect to Demurrage (including the incentive principle), and (c) whether or not SM Line's performance caused or contributed to the underlying invoiced Demurrage charge.	SM Line will produce responsive, non-privileged documents in SM Line's custody or control from which the response to this interrogatory may be ascertained.			
Interrogatory No. 19: Provide the contact information for the SM Line individual(s) and/or department(s) responsible for handling and/or responding to Demurrage and Detention inquires or disputes, and those with managerial responsibility for Store Door moves, during the Relevant Time Period, and, if different, specifically with respect to SEA Shipments.	<i>IB Customer SVC (Demurrage)</i>	<i>Administration - IB Service</i>	<i>Manager</i>	<i>Joan Gaston</i>
	<i>Claims & Supporting (Detention)</i>	<i>Operation - Claims & Supporting</i>	<i>Manager</i>	<i>Chian Ma</i>
	<i>Traffic & EQ (Trucking/CNT/Door Move)</i>	<i>Operation - EQ & Traffic</i>	<i>Manager</i>	<i>Christopher Solarez</i>
RFP No. 4: Produce all Documents reflecting Communications pertaining to SEA Shipments [during the Relevant Time Period], relating in any way to the subject of Demurrage or Detention charges.	SM Line is diligently conducting a reasonable search and will produce all available responsive, non-privileged documents in SM Line custody and control, that are kept in the normal course of SM Line's business....			
RFP No. 15: Produce all Documents regarding SM Line's efforts to collect	Same as above			

³ See Ex. 6, Initial Disclosures; see also Ex. 7 Hyun-Yong Jung Depo. Tr. 36:3-14; 37:25-42:6; H.Y. Jung Ex. 3, Ex. 8 (D&D Management Procedure) (SM Line_0110085-88; 0110097).

⁴ See, e.g., discovery requests in SEA RFI No. 17, SEA RFI No. 19, SEA RFP No. 4, SEA RFP No. 15, SEA RFP No. 17 describe the types of discovery sought in more detail. See Exs. 9 and 10.

⁵ Ms. Gaston, Mr. Ma, and Mr. Solarez are all based out of SM Line's U.S. Office, and none of them had any authority to discount or inactivate D&D charges. See Ex. 11, C. Ma Depo Tr. 88:11-21.

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Demurrage and Detention charges from SEA.	
RFP No. 17: Produce all Documents upon which SM Line plans to rely for any defense or affirmative claim in the present matter.	Same as above

SM Line’s 41-pages of discovery responses did not once mention or disclose (1) any Key Custodian in Korea with the authority to D&D charges or (2) the unwritten, selectively enforced Email Deletion Policy.⁶ SM Line produced virtually none of the internal communications from team leaders for Network Operation, TransPacific, Accounts Receivable teams⁷ or their direct report, the Head of the Operations (“Select D&D Decision-Makers”⁸).

C. For Many Ensuing Months, SEA Sought Relevant Emails From Key Custodians in Korea, and SM Line Continued to Stonewall, Necessitating Multiple, Costly Deficiency Letters, Meet-And-Confers, and Discovery Motions

On August 18, 2023, SM Line responded to SEA’s interrogatory deficiency letter sent on August 15, 2023, identifying, *inter alia*, the SM Line personnel who contributed to SM Line’s responses to SEA’s interrogatories. Though SM Line’s Korea-based Key Custodians were in fact the witnesses with actual knowledge and authority on relevant D&D matters, SM Line apparently failed to consult with or identify any Key Custodian in SM Line’s Korea HQ. *See* Ex. 15.

On August 28, 2023, SM Line requested an extension of the scheduling order, in part, to purportedly process thousands of *foreign language documents* with responsive information and confidential information requiring redactions. *See* FMC 23-01, Dkt. 19. On September 7, 2023, SM Line was granted additional time to produce documents by October 17, 2023. *See* FMC 23-01, Dkt. 21. SM Line must have known that documents from SM Line’s Korea HQ were relevant,

⁶ *See* Exs. 9 and 10; Ex. 12, Kwang Kuk Choi Depo. Tr. 85:23-86:20; 87:14-23; Ex. 13, SM Line 143(b)(6) Depo. Volume III Tr. 214:14-215:14; 217:13-15; 218:2-219:4; 220:5-8; Ex. 7, Hyun-Yong Jung Depo. Tr. 37:25-38:14.

⁷ *See* Ex. 7, H.Y. Jung Tr. 12:15-17; 15:1-16:3; 17:11-18:3; 38:4-14; Ex. 14.

⁸ They are defined as “Select” D&D Decision-Makers because: (i) per SM Line’s D&D Management Procedure, inactivation or discount requests above [REDACTED] require input from SM Line’s CEO, *See* Ex. 8, SM Line 0110097; and (ii) Mr. Jung’s predecessor is Mr. Mark Yoon-Jae Lee, and SM Line’s production provided only a *de minimus* number of emails belonging to Mr. Lee. Ex. 7, Hyun-Yong Jung Depo. Tr. 52:18-21.

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but SM Line did not disclose the headquarters witnesses with actual decision-making authority over SM Line's D&D practices and policies, the Email Deletion Policy.

On November 17, 2023, SEA sent a letter to SM Line requesting that SM Line cure its document deficiencies with respect to, *inter alia*, (i) financial records related to D&D charges; and (ii) communications and documents explaining SM Line's D&D policies and practices, the reasons why SEA was charged D&D, and who approved the charges. *See* Ex. 16. The parties engaged in months-long email discussions (including a meet-and-confer on November 20, 2023), but not once did SM Line identify any Key Custodian in Korea HQ or the Email Deletion Policy. Ex. 17. Only at the very end of fact discovery did SM Line reveal that all decisions to "discount" or address a customer dispute of charges that exceeded [REDACTED] per bill of lading (virtually all of the charges at issue) had to be made in the Korea HQ. In 2020, the authority of the U.S. Office to discount any charges was revoked and reinstated with a modest increase to [REDACTED] in November 2022.⁹

On January 16 and 17, 2024, through deposition of K.S. Oh (General Manager of Network Operation Team in Korea HQ) and Ho-Yoon Kim (Korea HQ's CFO), SEA confirmed for the first time the identity of the Select D&D Decision-Makers and the fact that they do have access to the data and emails related to collection of D&D. *See* Ex. 18, K.S. Oh Depo. Tr. 63:21-64:7; Ex. 19, Ho-Yoon Kim Depo Tr. 63:5-12; 92:6-10. This was a stunning revelation as none of these persons had been identified (or even hinted at) in the previous eight months of litigation.

D. The Presiding Officer Allowed SEA to Depose Select D&D Decision-Makers, Whose Testimonies Ultimately Led to Confirmation of the Withheld ESI

On January 24, 2024, following depositions of Messrs. Oh and Kim, SEA noticed the depositions of the Select D&D Decision-Makers, who were "directly responsible for making the decisions regarding [D&D] that are the subject of this case." Ex. 20, Notices of Deposition; Dkt. 70.

⁹Ex. 13, K.K. Choi (143(b)(6), Feb. 6, 2024) Tr. 214:19-215:14; 218:2-4, 7-22.

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On January 31, 2024, SEA explained that “the fact that there are virtually no emails from [the Select D&D Decision-Makers] despite their central importance are, in part, the very reason for SEA’s noticing their depositions.” *See* Ex. 14. In response, SM Line, for the first time, asserted that “[a]ccording to the company’s policy, emails on email the servers are automatically deleted after 90 days unless they are separately preserved in another server/system by an IT team and/or saved by individual computers by the employees.” *Id.* SM Line further contended: “[w]hile the 90-day retention policy is enforced strictly in Korea, the same is somewhat more lenient in the US office, which might explain why US employees were able to produce more emails.” *Id.*

SM Line sought to block discovery by unsuccessfully seeking to quash the depositions.¹⁰ *See* Dkt. 69 and 70. During the February 2, 2024 discovery hearing, SEA moved to compel SM Line to produce emails from the Select D&D Decision-Makers slated for depositions. Based on SM Line’s representations to the Presiding Officer that all responsive documents had been produced, the motion was denied without prejudice, noting that: “if the depositions of [the Select D&D Decision-Makers] reveal undisclosed documents, [SEA] can revisit this issue.” Dkt. 70.

On February 7, 2024, SEA deposed the Select D&D Decision-Makers, which confirmed that responsive emails and records in fact existed at the time and that no adequate, much less exhaustive, search has been performed, including that:

- Mr. Hyun-Yong Jung (**Head of Sales and Logistics Division and “the third highest ranking person”¹¹ in Korea HQ**) admits that there were relevant emails from between 2020 and 2022, which now SM Line allegedly destroyed by the Email Deletion Policy:

Q: Can you recall the date range of the emails that you collected?

A: As I recall, it was 2020 to 2022. Ex. 7, Tr. 21:10-12

- Mr. Jung confirmed that D&D discount discussions as well as inactivation or discount approvals were communicated via email:

¹⁰ The Presiding Officer issued a written order on February 5, 2024, memorializing the rulings during the February 2, 2024 status conference. Dkt. 70.

¹¹ Dkt. 69 at p. 5.

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Q: Just to clarify, when you say you are talking to the sales team leader in the field [to approve or deny a discount request], does that talk include phone call or email? Zoom? Teams? How do you talk with that person?

A: Email. Ex. 7, Tr. 51:5-10

Q: Do you recall in what method you had indicated your approval to Mr. -Hyun Kim? Was it the email? Phone call? Face-to-face meeting?

A: All communications were through emails. Ex. 7, Tr. 54:7-10

- Mr. Sung-Hyun Kim (**Team Leader, Network Operation Team**) also admits that there were relevant e-mails from between 2020 and 2022, which have now been allegedly destroyed by the Email Deletion Policy:

Q: What was the date range that you did the search for documents?

A: The time period was talked about was from January 1st, 2020, to December 31st, 2022, but when you are gathering these emails, of course, you know, there would be prior emails and what not.... Ex. 21, Tr. 15:16-24

- Mr. Ki-Yong Kim (**Team Leader, Accounting Team**) was not asked to collect documents and emails *until January 2024*:

Q: When was this request received?

A: It might have been around, you know, three weeks ago. Two, three weeks ago. Maybe within a month. Ex. 22, Tr. 13:2-4

E. Following the Deposition of Select D&D Decision-Makers, SEA Renewed Its Request for Emails and Document Relating to Them

On February 22, 2024, SEA sent a letter to SM Line requesting an accounting of their document collection procedures, the Email Deletion Policy, and the dearth of emails from the Select D&D Decision-Makers. *See* Ex. 23.

Between February 26, 2024 and March 8, 2024, SM Line refused to respond to the substance of SEA's requests. *See* Ex. 5 at 12-13. These efforts included:

- On February 27, 2024, SEA requested a response to the February 22, 2024 letter by March 1, 2024. *See* Ex. 5 at 11-12.
- On March 1, 2024, SEA requested a response to the February 27, 2024 email, to which counsel for SM Line did not respond. *See* Ex. 5 at 10.

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- On March 2, 2024, SM Line’s counsel acknowledged receipt of the February 22 Letter but refused to agree to a deadline by which it would respond, claiming they have been “undertaking every effort to locate any additional document.” *See* Ex. 5 at 9.
- On March 2, 2024, SEA again requested a date certain by which SM Line would respond to the February 22 Letter. *See* Ex. 5 at 8-9.
- On March 4, 2024, having had no further response from SM Line, SEA advised SM Line that it would have to seek the Presiding Officer’s input if SM Line fails to provide a date certain to respond to SEA. *Id.*
- On March 5, 2024, counsel for SM Line requested a meet-and-confer. *See* Ex. 5 at 8.
- On March 6, 2024, counsel for the parties met and conferred for over an hour.

Only after the meet and confer, on March 8, 2024, counsel for SM Line confirmed that “***all of the communications prior to April of 2023 [i.e., the filing of SEA’s complaint against SM Line], had already been deleted.***” Ex. 5 (emphasis added).

ARGUMENT

A. Legal Standard

FMC Rule 150 authorizes the Presiding Officer to compel compliance with the requests for Initial Disclosures or with discovery obligations. 46 C.F.R. § 502.150. The parties here were specifically ordered by then-Presiding Officer Wirth to preserve *all* relevant documents:¹²

The parties are reminded of their obligation to ensure preservation of all relevant evidence, including electronically stored information. *Zhi Chen v. District of Columbia*, 839 F. Supp. 2d 7, 12 (D.D.C. 2011); *The Pension Comm. of the Univ. of Montreal Pension Plan v. Banc of America Securities, LLC*, 685 F. Supp. 2d 456 (S.D.N.Y. 2010); *Zubulake v. UBS Warburg LLC*, 220 F.R.D. 212 (S.D.N.Y. 2003).

The Presiding Officer is empowered to sanction litigants for failing to preserve evidence that “that should have been preserved in the anticipation or conduct of litigation.” Fed. R. Civ. P. 37. Rule 37(e) provides the sole source to address the loss of relevant ESI that was required to

¹² Dkt. No. 10 (Initial Order dated April 21, 2023).

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be preserved but was not because reasonable steps were not taken, resulting in prejudice. *See Hollis v. CEVA Logis. U.S., Inc.*, 603 F. Supp. 3d 611, 617 (N.D. Ill. 2022); *DR Distrib. v. 21 Century Smoking, Inc.*, 513 F. Supp. 3d 839, 956 (N.D. Ill. 2021). Rule 37(e) has five threshold requirements: (1) the information must be ESI; (2) there must have been anticipated or actual litigation that triggers the duty to preserve ESI; (3) the relevant ESI should have been preserved at the time of the litigation was anticipated or ongoing; (4) the ESI must have been lost because a party failed to take reasonable steps to preserve it; and (5) the lost ESI cannot be restored or replaced through additional discovery. Fed. R. Civ. P. 37(e); *DR Distribs.*, 513 F. Supp. 3d at 958.

Assuming that the factors above are present, upon a finding that the destruction of ESI causes prejudice to another party, a court may order measures necessary to cure the prejudice, including adverse inferences that the destroyed evidence was unfavorable to the defendant. *DishNetwork L.L.C. v. Jadoo TV, Inc.*, No. 20-CV-01891-CRB (LB), 2022 WL 11270394, at *4 (N.D. Cal. Oct. 19, 2022). Under Rule 37(e)(2), upon a finding that the spoliating party acted “with the intent to deprive another party of the information’s use in the litigation,” a court may impose a mandatory adverse inference instruction that the evidence was intentionally destroyed and that the lost information was unfavorable. *Id.* at *2. Unlike jury trials, the issue here is not whether an inference instruction is permissible or mandatory, but appropriate inferences that should be drawn by the ALJ in light of SM Line’s spoliation of evidence it knew was relevant and responsive to SEA’s D&D charges allegations.

B. SM Line Failed to Take Reasonable Steps to Conduct Collection of Relevant ESI and to Protect the Evidence From Spoliation

SEA’s February 2, 2024 oral motion to compel focused on critically relevant evidence that go to the heart of SEA’s reparation claims from Key Custodians in Korea, such as:

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- Emails authored by Select D&D Decision-Makers concerning SEA's claims or D&D charges collected from SEA;
- Records regarding the D&D policies Select D&D Decision-Makers were responsible for developing and disseminating;
- Records related to SELCON's review and approval or rejection of D&D discount and inactivation requests higher than [REDACTED];
- Prior drafts, internal discussions/comments, and the like in connection with the 2022 DEM/DET management Improvement Plan Report by SELCON team dated October 26, 2022 ("Improvement Plan Report"); or
- Copies of reports on outstanding D&D to Select D&D Decision-Makers that the US Operations team was required to send on a monthly basis per SM Line's D&D Management Procedure.

Virtually *none* of these highly relevant records have been produced, and they are spoliated.

C. Sanctions Against SM Line For Spoliation Are Appropriate Under FMC Rule 150 and Civil Rule 37(e)

1. SM Line Was Under A Duty To Preserve Evidence

Parties have a duty to preserve evidence that they know or reasonably should know could be relevant to a pending or foreseeable lawsuit. *Leon v. IDX Sys. Corp.*, 464 F.3d 951, 959 (9th Cir. 2006). Courts largely agree that a lawsuit becomes foreseeable and the duty to preserve is triggered when "a potential claim is identified" and made known to another party. *See, e.g., Does 1-5 v. City of Chicago*, Case No. 18-cv-03054, 2019 WL 2994532, at *4 (N.D. Ill. July 9, 2019) (duty to preserve documents was triggered by receipt of demand letter, especially considering "a 30-day destruction policy at the time"); *Compass Bank v. Morris Cerullo World Evangelism*, 104 F. Supp.3d 1040, 1051 (S.D. Cal. 2015) ("[T]he duty to preserve arises not only during litigation, but also extends to the period before litigation when a party should reasonably know that evidence may be relevant to anticipated litigation.").

Upon receiving the Demand Letter on September 26, 2022, SM Line should have preserved any potentially relevant evidence, in light of SEA's express statement in the Demand Letter that it intends to seek reparations before the FMC. Ex. 2. Thus, as of September 2022, SM Line could,

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and should, have immediately suspended the alleged Email Deletion Policy and preserved and produced all responsive ESI at least going back to June 2022. If there was any doubt, SM Line and SEA had multiple discussions during which SEA explained the bases for its claims and SM Line denied violating the Shipping Act. Even after SM Line was served with SEA's Complaint on April 19, 2023, SM Line still did not suspend the alleged Email Deletion Policy or preserve all responsive ESI. SM Line has provided no explanation for failing to take action at either critical date of September 22, 2022 or at the latest, April 19, 2023, to preserve evidence 90 days therefrom.

2. SM Line Did Not Preserve ESI

SM Line has already admitted that it never suspended the Email Deletion Policy and that, as a result of its failure to do so, it has destroyed all relevant communications from Key Custodians in Korea prior to April 2023. This amounts to spoliation. In addition, SM Line's vague assertions of "more lenient" enforcement in the U.S. is also a further admission that an unknown volume of email from unidentified U.S. custodians was also deleted. This too amounts to spoliation.

i. SM Line Did Not Implement An Adequate Litigation Hold

Parties *must* implement a litigation hold and suspend of any automated destruction of potentially relevant ESI once the duty arises. *In re Napster, Inc. Copyright Litig.*, 462 F. Supp. 2d 1060, 1070 (N.D. Cal. 2006) (once a litigant's "duty to preserve took effect" it "was required to suspend any existing policies related to deleting or destroying files...."). "Counsel must oversee compliance with the litigation hold, monitoring the party's efforts to retain and produce the relevant documents." *Zubulake v. UBS Warburg LLC*, 229 F.R.D. 422, 432 (S.D.N.Y. 2004).

SM Line now claims that "the time SM Line was under any obligation to preserve" the Withheld ESI was 8 days after the Complaint was served (April 27, 2023) and that SM Line met its preservation duty by instructing on that day "approximately 20 key managements and

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department managers” in Korea HQ to “(a) identify the individual staff members that would maintain relevant information about the dispute between SEA and SM Line, and (b) to ask those staff members to gather any relevant communications and documents in their control.” Ex. 5. SM Line is flat wrong. The instruction above not a litigation hold at all.

It is *mandatory* that a litigation hold be implemented in light of a duty to preserve, here, in September 2022. Upon receipt of the Demand Letter SM Line clearly had notice of the nature and scope of the claims and it knew or should have known that (i) an overwhelming majority of the D&D charges SEA disputes – and SM Line’s policies to invoice and collect same – are decisions made by Key Custodians in Korea HQ; and therefore (ii) e-mails from those key, knowledgeable decision-makers were relevant and must be preserved. Yet *none* of those critically important ESI from before April 2023 were saved, but rather destroyed by SM Line. *See, e.g., DR Distribs.*, 513 F. Supp. 3d at 979 (“[D]isabling an autodeletion function is universally understood to be one of the most basic and simple functions a party must do to preserve ESI.”); *Montoya v. Orange Cnty. Sheriff’s Dep’t*, No. SACV 11-1922 JGB, 2013 WL 6705992, at *9 (C.D. Cal. Dec. 18, 2013) (sanctioning a litigant under the duty to preserve for “unilaterally determin[ing] that the server and computer system did not have any” relevant documents and neglecting to halt auto-deletion). The importance of these preservation measures is only heightened, where, as here, *SM Line failed to identify or obscured the Key Custodians in Korea HQ until SEA pressed SM Line for months through costly discovery motions and depositions.*¹³

ii. The Withheld Evidence Cannot Be Replaced Or Restored

¹³ Here, the prejudice cannot be unwound. SM Line has failed to perform the most basic discovery functions – identify relevant individuals and stop the deletion documents. Even if SM Line could, somehow, provide the relevant communications for the Select D&D Decision-Makers, it is past the discovery cutoff. Even if the ESI could be recovered, the prejudice is solidified. If SM Line could now produce the relevant information, SEA could not utilize the information during fact and expert discovery. And the Presiding Officer has understandably stated no more extensions of general fact discovery. Furthermore, SEA has already spent an inordinate amount of time and money attempting to obtain such basic, relevant documents and communications from SM Line.

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Through its March 8, 2024 communication, SM Line made a definitive pronouncement that “all of the communications prior to April of 2023 [from Key Custodians in Korea HQ] had already been deleted....” Ex. 5. This admission triggers the intent spoliation analysis below.

3. ***SM Line’s Conduct Meets the Standard for Finding that SM Line Acted With Intent To Deprive SEA Of The Withheld ESI***

A finding of intent can be made on circumstantial evidence, as “intent is rarely susceptible to direct proof.” *Estate of Hill v. NaphCare, Inc.*, No. 2:20-cv-00410-MKD, 2022 U.S. Dist. LEXIS 83714, at *33 (E.D. Wash. May 9, 2022). “[I]ntent may be inferred if a party is on notice that documents were potentially relevant and fails to take measures to preserve relevant evidence, or otherwise seeks to keep incriminating facts out of evidence.” *Estate of Bosco v. Cty. of Sonoma*, No. 20-cv-04859-CRB, 2022 U.S. Dist. LEXIS 206409, at *25 (N.D. Cal. Nov. 14, 2022); *Ungar v. City of New York*, 329 F.R.D. 8, 13 (E.D.N.Y. 2018) (“[A] party’s conscious dereliction of a known duty to preserve electronic data is both necessary and sufficient to find that the party ‘acted with the intent to deprive another party of the information’s use’ under Rule 37(e)(2).”).

SM Line was aware that the Withheld ESI was relevant, and that it should have preserved same immediately upon receipt of the Demand Letter. And yet:

- Upon receipt of the Demand Letter in September 2022, SM Line did nothing to preserve the relevant ESI concerning Key Custodians in Korea HQ, nor did it issue an adequate litigation hold, while engaging in the internal, defensive D&D data analysis;
- During the ensuing seven months, and upon SEA’s filing on April 13, 2023 and the Commission’s service of same on April 19, 2023, SM Line again failed to preserve the relevant ESI concerning Key Custodians in Korea HQ or implement a litigation hold;
- Even after it was served with the Complaint, SM Line once again failed to disable the Email Deletion Policy and made efforts to safeguard the relevant ESI from Key Custodians in Korea HQ;
- During the next ten months of contested discovery until cornered to admit the systematic destruction of the Withheld ESI, SM Line yet again failed to disclose any of Key

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Custodians in Korea HQ, much less preserve e-mails to and from them, and also continued to implement the Email Deletion Policy.

SM Line's serial failures over a year-long litigation to (i) disable or disclose the Email Deletion Policy to SEA; (ii) identify any Key Custodian in Korea HQ; and (iii) make any efforts to preserve the relevant ESI from key D&D decision-makers in Korea HQ, took place when SM Line *clearly and unmistakably knew* that Korea HQ made all D&D policy and all significant D&D decisions:

- The company-wide D&D Management Procedure was established, managed, and modified solely by the Korea HQ from its inception in 2017 to its last update during the Relevant Time period in November 2022. Ex. 13, K.K. Choi (143(b)(6), February 6, 2024) Tr. 245:8-246:6.
- The Korea HQ SELCON team evaluated Shipping Act changes resulting from OSRA 2022 and increasing D&D complaints in the October 16, 2022 D&D Improvement Plan Report, and thereafter SELCON promulgated the November 18, 2022 update to the D&D Management Procedure. *Id.*; Ex. 24.
- According to SM Line's D&D Management Procedure:
 - All decision to issue a "stop clock" order, in effect suspending the running of free time so a container would not go into demurrage, were only made in the Korea HQ;
 - All decisions to "inactivate" a charge, in effect to fully waive a charge that should not have been assessed against a consignee, were only made in the Korea HQ; and
 - All decisions to "discount" or address a customer dispute of charges that exceeded [REDACTED] per bill of lading (virtually all of the charges at issue in this matter) had to be made in the Korea HQ. In 2020, the authority of the U.S. office to discount any charges was revoked, later reinstated, and only modestly increased in November 2022 to [REDACTED] Ex. 13, K.K. Choi (143(b)(6), Feb. 6, 2024) Tr. 214:19-215:14; 218:2-4, 7-22.

Only after months of SEA pressing SM Line to reveal and produce relevant evidence from Select D&D Decision-Makers, is SM Line now admitting that the Withheld ESI was destroyed. SM Line should have disclosed, and not intentionally gone out of its way to conceal, obscure, or minimize, the central and intimate involvement by the Key Custodians in its Korea HQ at the beginning of discovery, not at the very end. This conduct, coupled with the affirmatively obstructive behavior

by SM Line to avoid and limit discovery of Key Custodians in Korea and as to D&D policy documents, is sufficient to warrant sanctions for intentional spoliation. *Estate of Bosco*, 2022 U.S. Dist. LEXIS 206409, at *29 (a failure to disable automatic deletion, in addition to affirmative acts of spoliation, is sufficient to infer intent on the part of a spoliating party).

4. *The Presiding Officer Should Sanction SM Line and Remedy the Extreme Prejudice SEA Suffered Due to the Withheld ESI*

Due to SM Line's persistent attempt to avoid discovery from the Key Custodians at its Headquarters and its failure to preserve and produce the Withheld ESI, SEA has suffered extreme prejudice.¹⁴ SEA (i) had to engage in months-long, costly discovery disputes with SM Line, including numerous deficiency letters, meet-and-confers, and depositions of the Select D&D Decision-Makers; (ii) ***SEA now is left without key evidence*** central to its case, e.g., to further corroborate that SM Line's internal D&D objective was, consistent with the Improvement Plan Report, maximizing revenue without meaningful application of the incentive principle or evidence showing that SM Line failed to take reasonable actions on D&D charges.¹⁵ Here, the nearly complete destruction of all pre-April 2023 e-mails by SM Line's Korea headquarters justifies a finding that the destroyed evidence prejudiced SEA. *See, e.g., E*Trade Sec., LLC v. Deutsche Bank AG*, 230 F.R.D. 582, 592 (D. Minn. 2005) ("The substantial and complete nature of the destruction of the evidence contained in the recorded telephone conversations and hard drives destroyed by Nomura Canada, justifies a finding of prejudice."); *Hollis*, 603 F. Supp. 3d at 623 ("Establishing prejudice can be a dicey proposition because ESI is gone.").

¹⁴ To the extent that SM Line contends that there is no prejudice because it produced over 53,000 documents, "the amount of discovery [the parties] produced is irrelevant to whether [the moving party] suffered prejudice; contrary to [the adverse party's] argument [] what matters is the relevant time period [] during which [the adverse party] deleted emails." *Glaukos Corp. v. Ivantis, Inc.*, SACV18620JVSJDEX, 2020 WL 10501850, at *6 (C.D. Cal. June 17, 2020).

¹⁵ SM Line has sought to distance itself from the Improvement Plan Report by claiming that it was not widely disseminated or communicated within SM Line. But of course, having deleted **all** of the relevant Korea communications in and around its 2022 release, SEA does not have the email evidence to rebut those assertions.

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Against this backdrop, SEA requests that the Presiding Officer issue (i) mandatory adverse inference sanctions; (ii) and a fee reimbursement order against SM Line. *See Marine Transport Logistics, Inc. v. CMA CGM, S.A.*, 2023 WL 2756679, at *4 (FMC, Dkt. No. 22-23) (“Parties appearing before the Commission are entitled to relevant evidence needed to prosecute their cases. Failure to provide discovery may result in procedural sanctions, from an inference that the discovery would have been adverse to Respondent’s interests to a decision on default.”).

First, for the facts to be considered in the Initial Decision, it should be presumed that:

- SM Line intentionally destroyed the Withheld ESI relating to internal communications and deliberations among:
 - SM Line Headquarters employees concerning SM Line’s actual objectives for D&D as stated in the D&D Management Procedures and the Improvement Plan Report;¹⁶
 - Those with *sole* decision-making authority in SM Lines’ Korea headquarters to (i) waive or discount D&D charges over [REDACTED] and (ii) inactivate charges, institute stop clocks or extend free time; and
- These communications and documents would have been favorable to SEA, *i.e.*,
 - The statements and recommendations made in the Improvement Plan Report are accurate descriptions of SM Line’s actual goals and objectives for D&D; and
 - Emails or internal deliberation messages among Korean employees, in particular, the SELCON team regarding decisions to inactivate and/or discount certain D&D charges¹⁷ or to stop clocks or extend free days¹⁸, would not show that SM Line had or deployed reasonable practices, policies or procedures for handling D&D matters.

Second, SM Line should be barred from arguing that SEA must affirmatively show evidence of specific performance failures that were a cause of, or contributed to, the underlying

¹⁶ Ex. 24, SM Line_0178389-398 (English Version, along with a certificate of accurate translation)

¹⁷ *See, e.g.*, Ex. 25, SM Line_0082575 (a detention waiver request for Gold Point requiring a response or authorization from SELCON, but none found in the production); Ex. 26, SM Line_0060282 (SEA’s request to waive detention because of a vessel delay, requiring a response or authorization from SELCON, but none found in the production).

¹⁸ *See, e.g.*, Ex. 27, C. Solarez Dep. Tr. at 55:7-16 (“We would report [a stop clock request] to the SELCON team and ask them”); Ex. 28, SM Line_0135731 (Samsung SDSA challenged several detention invoices based on the dates used to calculate the charges; no follow-up emails from Korea showing stop clock approval by HQ for the dates specified).

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challenged charges *unless* SM Line has proffered affirmative evidence in its defense. If SM Line had a reasonable basis to charge D&D to SEA, it should have retained and produced the evidence. *Jamteck Int'l Shipping, Inc. - Possible Violations of the Comm'n's Regulations at 46 C.F.R. Part 515*, Dkt. No. 07-09, 2009 FMC LEXIS 42, *6-7 (ALJ July 27, 2009) (an order that an inference adverse to Respondents be drawn as a result of Respondents' failure to respond to discovery).

Third, SM Line should be required to reimburse SEA for the significant fees and costs it has incurred in bringing the instant motion, the numerous discovery motions SEA had to submit and the associated meet-and-confers, as well as the depositions of six Korean-office witnesses without their email files – none of which would have been necessary in the absence of SM Line's misconduct and failure to comply its discovery obligations and voluntarily disclosure of the Key Custodians in Korea HQ at the outset of discovery. *See Fashion Exch. LLC v. Hybrid Promotions, LLC*, 2019 WL 6838672, at *7-9 (S.D.N.Y. Dec. 16, 2019) (jointly and severally sanctioning plaintiff and its counsel for fees and costs resulting from spoliation). If SEA's motion is granted, SEA will provide a full accounting of these costs and fees to the Presiding Officer.

CONCLUSION

SM Line's conduct, considered in totality, is far more than merely negligent, it has not been credibly explained, it meets the standard for inferring intent to deprive SEA of evidence, and the spoliated evidence is material and prejudicial to SEA. Sanctions against SM Line are warranted.

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CERTIFICATE OF SERVICE

The undersigned hereby certifies that on the execution date which appears below, the undersigned served the attached document on counsel at the following email addresses:

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